



Kubernetes Platform Economics

Workshop 1

Scope, Glossary, and Rules of the Game

[DATE] | [FACILITATOR]

Where We Are

You are here – Workshop 1 sets the foundation for everything that follows. Each session builds on the last.



 **YOU ARE HERE** – Workshop 1: Scope and Cost Unit. Today we establish the rules of the game.

What We Are Producing Today

By the end of this session we will have five concrete, agreed outputs ready to carry into Workshop 2.

1

Written Scope Statement

Agreed by the room – no ambiguity about what is in and what is out.

2

Assumptions Register v1

Every decision, versioned – a living document that travels through all workshops.

3

Glossary of Agreed Terms

Shared language so everyone is talking about the same things.

4

Unit Metrics Shortlist

Three to five measures that will anchor the economic model.

5

Data Request List

Every item has a named owner – no orphaned action items.

Most cost debates do not come from bad data.

They come from **hidden assumptions**.

What We Are Really Aligning On

- **What is included** – and what is explicitly out of scope
- **What is shared** – and how shared costs get treated
- **What gets allocated** – and by what method
- **Platform cost vs workload cost** – where the line sits

✓ Agreeing the rules now means the output is **trusted, not argued over**.

Confirming Scope — Platforms

Review each platform below. Confirm whether it is in scope for the baseline model or scenario modelling only. Flag anything missing before we proceed.

Platform	Role	In Scope?
[PLATFORM A]	Baseline	 Confirm
[PLATFORM B]	Baseline	 Confirm
[PLATFORM C]	Baseline	 Confirm
[PLATFORM D]	Scenario only	 Confirm
[PLATFORM E]	Scenario only	 Confirm

 Anything missing? Raise it now before the scope is locked.

Confirming Scope — Environments and Time Window

Environments

Production

Primary environment for
baseline cost modelling

Non-production

Dev, staging, test — confirm
inclusion and treatment

Both

Other: [confirm]

Separated or combined? **Confirm and record.**

Time Window

Last Full Quarter

Recommended default —
clean billing period boundaries

Last Three Months

Rolling window — may cross
billing periods

Other

[Confirm start and end date]

Confirm start and end date. **Record in Assumptions Register.**

Confirming Scope — Cost Types

For each cost type below, confirm whether it is in scope. Every confirmed item becomes a data request. Every excluded item gets a recorded reason.

Cost Type	Examples	In Scope?
Cloud compute	EC2, VMs, node pools	Confirm
Cloud storage	Block and object storage	Confirm
Cloud network	Load balancers, NAT, egress	Confirm
Managed service fees	EKS fees, AKS fees	Confirm
Platform tooling	Observability, security, CI/CD	Confirm
Subscriptions	Platform licences, support	Confirm
Operating effort	Platform team time	Confirm
Shared services	IAM, shared logging	Confirm

Cost Treatment Rules

i We are **not** implementing chargeback. We are agreeing **showback rules** — making costs visible before billing anyone.

1

Shared Platform Costs

How do we treat costs that serve multiple platforms or teams?

2

Non-Production Environments

How do we treat non-production cost in the model?

3

Operating Effort

How do we capture platform team time and effort?

4

Tooling Duplication

Do we explicitly call out where the same capability exists across platforms?



Rule 1 — Shared Platform Costs

Some costs serve multiple platforms or teams. We need a single agreed method for how these are handled in the model.

Option A

Allocate proportionally by usage

Best if tagging and labels exist. Most accurate but requires good data quality.

Option B

Allocate equally across platforms

Simpler but less precise. Works well when platforms are broadly similar in scale.

Option C

Hold in a shared unallocated bucket

Acceptable for v1 — refine in Workshop 3 once more data is available.

 **Decision:** _____

Rule 2 — Non-Production Environments

Non-production environments can represent a significant portion of total spend. How we treat them affects the transparency and accuracy of the model.

Option A

Include in total — separate line item

Most transparent. Allows direct comparison of prod vs non-prod cost over time.

Option B

Include in total — not separated

Simpler, less visible. Easier to implement but obscures non-prod cost patterns.

Option C

Exclude from unit economics — include in total

Useful if non-prod is structurally very different from production workloads.

 **Decision:** _____

Rule 3 — Operating Effort

Platform team time is a real cost that does not appear on any cloud invoice. How we capture it determines whether the model reflects true total cost of ownership.

Option A

Percentage split of team time across activities

e.g. 30% upgrades, 20% incidents, 20% onboarding. Practical and fast to produce.

Option B

Rough hours per activity per month

More granular but requires more input from the platform team. Higher fidelity.

Option C

Exclude — note as a gap with confidence impact

Only if truly impossible to estimate. Must be flagged in the Assumptions Register.

 **Decision:** _____

Rule 4 — Tooling Duplication

Where the same capability exists across multiple platforms — observability, security scanning, CI/CD — do we model that duplication explicitly in the cost model?

Option A — Model Explicitly

Yes — model as a separate line item

Surfaces the consolidation opportunity and estimated saving. Makes the lever visible to decision-makers. Recommended if consolidation is a likely scenario.

Option B — Include Without Separating

No — include in platform tooling without separating

Simpler and faster to produce. Less visible as a lever. Acceptable for v1 if consolidation is not yet on the agenda.

 **Decision:** _____

Unit Metrics Shortlist

We need three to five unit metrics that will anchor the economic model. Review the options below and shortlist the ones most meaningful for your organisation.

Unit Metric	What It Tells You
Cost per production app per month	What it costs to run one application end-to-end
Cost per tenant or namespace	What it costs to serve one team or product per month
Cost per environment	Prod versus non-prod cost split — efficiency signal
Effective cost per vCPU-hour used	How efficiently capacity is being used across the platform
Ops cost per cluster per month	Operational overhead per cluster — staffing signal
Cost per deployment or release	What it costs to ship a change — engineering efficiency

 **Pick three to five.** Record the shortlist in the Assumptions Register with the rationale for each selection.

Data Request and Owners

Every item on this list needs a named owner and a due date before we leave the room. No orphaned action items – if it does not have an owner, it does not get done.

Data Needed	Why We Need It	Owner	Due Date
Cluster inventory	Defines the scope of the model		
Cloud billing exports	Source of truth for all spend		
Platform subscription costs	Fixed vs variable cost split		
Tooling list and costs	Duplication and consolidation analysis		
Ops effort estimate	Cost not visible on invoices		
Production app list	Unit economics foundation		
Namespace or team mapping	Allocation rules and showback		
Utilisation data	Effective cost per vCPU calculation		

What We Have Agreed Today

Five outputs confirmed. Everything is versioned in the Assumptions Register and ready to carry into Workshop 2.



See You in Workshop 2

Cost Taxonomy and Baseline Model

[DATE] | [TIME] | [LOCATION / LINK]

Pre-read

Coming your way before the session. Watch for the calendar invite with materials attached.

Data Request List

The list is live. Please action your items before Workshop 2 — the model depends on it.

